

They have been consuming luxury for many years, whether in their stays or their homes. Then there are first-time buyers, and almost 50% of our customers are in this category. Their needs are different. But there is an increasing maturity among young customers. They identify the product. They have a lot of insights on the product, on performance, on residual value, because they are also looking at upgrading their car every 48 months. At that point, they want the best resale value for their car.

I think all this comes into play much more rationally for consumers coming into luxury for the first time, or people who do not change cars very often. But then, many customers change cars every one to two years. They want the latest available in different parts of the world. We have introduced a campaign called Key-to-Key. The new S-Class is planned in one-and-a-half to

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two years, so customers wait. What we have said is: buy the current S-Class, and at the end of two years, give us the key. Take the key to the new S-Class and continue driving. No EMI change, no down payment, nothing.

CB: How is luxury car demand different in metros compared to a Tier-II or a Tier-III city? What is the demand scenario in Delhi or Mumbai versus Jaipur or Indore?

SI: Clearly, the demand for top-end cars is strong in Jaipur and Indore. In fact, if I look at the sales growth, it is contrary to expectations. The top-end car, in percentage terms, may sell even more than in Delhi or Mumbai. That is a fundamental difference, at least for Mercedes-Benz. Already, we have a 25% share in the top-end segment. The core segment is 60-65%. Our entry-level is only 10% of sales.

Percentage growth comes sharply from some of these Tier-II markets. But we must remember that

Delhi and Mumbai alone account for close to 35-40% of the market. So, while they may not be growing on a percentage basis, in absolute numbers, they are delivering strong growth.

For us, the penetration of luxury in Mumbai and Delhi is already 2.8-2.9%, compared to 1% across the rest of India. In Indore and other markets, penetration would be 0.6-0.7%.

CB: Do Tier II buyers see luxury more as status, while Tier I buyers focus on comfort and lifestyle?

SI: Not really. I think there are a lot of enthusiasts in Tier II and Tier III markets in India. These are emerging markets, but the customers know their stuff. In fact, you may find some people in metros buying just for status, because they are first-time buyers into luxury. I can see a lot of AMG's (Mercedes-AMG GmbH) also being sold in Tier II and Tier III markets.

CB: Beyond cars, are people also showing interest in Mercedes-Benz merchandise and lifestyle products?

SI: That is a very interesting one. Our business has grown almost year-on-year, doubling in terms of volumes. We now do more than ₹50 crore of business in merchandising alone, in terms of accessories, parts, and others. I think there is a dream to own a small part of Mercedes. It can be a cap; it can be a T-shirt. A lot of gifting has also come up. There is a big shift in online retail, with people gifting Mercedes-Benz merchandise and items.

CB: The government has cut GST on cars, which also makes luxury cars cheaper. In view of this, do top-end cars also benefit, or is it not so relevant since luxury buyers do not mind taxes? Or will this encourage more people to buy luxury cars?

SI: GST 2.0 can influence luxury cars purchase both direct and indirectly. With GST 2.0 reforms we expect a significant boost in consumption, with higher disposable income with consumers. This indirectly will positively influence the market and give a fillip to the luxury car purchase, as it is highly sentiment driven. In addition, we are passing on the entire benefit to our end customers, as Mercedes-Benz price cut ranges from ₹2 lakh for an A-Class up to ₹10 lakh for the S-Class. Our cost of servicing has also come down by up to 5%. **BT**

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